

HOUSE BILL No. 1156

DIGEST OF INTRODUCED BILL

Citations Affected: IC 6-1.1-12-14.

Synopsis: Veterans property tax deduction. Eliminates the assessed value cap that applies to the property tax deduction for a veteran who: (1) has a total disability; or (2) is at least 62 years of age and has at least a 10% disability.

Effective: July 1, 2026; January 1, 2027.

VanNatter

January 5, 2026, read first time and referred to Committee on Ways and Means.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1156

A BILL FOR AN ACT to amend the Indiana Code concerning taxation.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 6-1.1-12-14, AS AMENDED BY P.L.230-2025,
2 SECTION 32, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
3 JANUARY 1, 2027]: Sec. 14. (a) Except as provided in ~~subsection (c)~~
4 and except as provided in section 40.5 of this chapter, an individual
5 may have the sum of fourteen thousand dollars (\$14,000) deducted
6 from the assessed value of the real property, mobile home not assessed
7 as real property, or manufactured home not assessed as real property
8 that the individual owns (or the real property, mobile home not
9 assessed as real property, or manufactured home not assessed as real
10 property that the individual is buying under a contract that provides
11 that the individual is to pay property taxes on the real property, mobile
12 home, or manufactured home if the contract or a memorandum of the
13 contract is recorded in the county recorder's office) if:
14 (1) the individual served in the military or naval forces of the
15 United States for at least ninety (90) days;
16 (2) the individual received an honorable discharge;
17 (3) the individual either:



- 1 (A) has a total disability; or
- 2 (B) is at least sixty-two (62) years old and has a disability of at
- 3 least ten percent (10%);
- 4 (4) the individual's disability is evidenced by:
- 5 (A) a pension certificate or an award of compensation issued
- 6 by the United States Department of Veterans Affairs; or
- 7 (B) a certificate of eligibility issued to the individual by the
- 8 Indiana department of veterans' affairs after the Indiana
- 9 department of veterans' affairs has determined that the
- 10 individual's disability qualifies the individual to receive a
- 11 deduction under this section; and
- 12 (5) the individual:
- 13 (A) owns the real property, mobile home, or manufactured
- 14 home; or
- 15 (B) is buying the real property, mobile home, or manufactured
- 16 home under contract;
- 17 on the date the statement required by section 15 of this chapter is
- 18 filed.
- 19 (b) ~~Except as provided in subsections (c) and (d);~~ The surviving
- 20 spouse of an individual may receive the deduction provided by this
- 21 section if:
- 22 (1) the individual satisfied the requirements of subsection (a)(1)
- 23 through (a)(4) at the time of death; or
- 24 (2) the individual:
- 25 (A) was killed in action;
- 26 (B) died while serving on active duty in the military or naval
- 27 forces of the United States; or
- 28 (C) died while performing inactive duty training in the military
- 29 or naval forces of the United States; and
- 30 the surviving spouse satisfies the requirement of subsection (a)(5) at
- 31 the time the deduction statement is filed. The surviving spouse is
- 32 entitled to the deduction regardless of whether the property for which
- 33 the deduction is claimed was owned by the deceased veteran or the
- 34 surviving spouse before the deceased veteran's death.
- 35 (c) ~~Except as provided in subsection (f); no one is entitled to the~~
- 36 ~~deduction provided by this section if the assessed value of the~~
- 37 ~~individual's Indiana real property; Indiana mobile home not assessed as~~
- 38 ~~real property; and Indiana manufactured home not assessed as real~~
- 39 ~~property; as shown by the tax duplicate; exceeds the assessed value~~
- 40 ~~limit specified in subsection (d);~~
- 41 (d) ~~Except as provided in subsection (f); for the:~~
- 42 (1) ~~January 1, 2017; January 1, 2018; and January 1, 2019;~~



assessment dates; the assessed value limit for purposes of subsection (c) is one hundred seventy-five thousand dollars (\$175,000);

(2) January 1, 2020; January 1, 2021; January 1, 2022; and January 1, 2023; assessment dates; the assessed value limit for purposes of subsection (c) is two hundred thousand dollars (\$200,000); and

(3) January 1, 2024; assessment date and for each assessment date thereafter; the assessed value limit for purposes of subsection (c) is two hundred forty thousand dollars (\$240,000).

(e) (c) An individual who has sold real property, a mobile home not assessed as real property, or a manufactured home not assessed as real property to another person under a contract that provides that the contract buyer is to pay the property taxes on the real property, mobile home, or manufactured home may not claim the deduction provided under this section against that real property, mobile home, or manufactured home.

(f) For purposes of determining the assessed value of the real property; mobile home; or manufactured home under subsection (d) for an individual who has received a deduction under this section in a previous year; increases in assessed value that occur after the later of:

(1) December 31, 2019; or

(2) the first year that the individual has received the deduction; are not considered unless the increase in assessed value is attributable to substantial renovation or new improvements. Where there is an increase in assessed value for purposes of the deduction under this section, the assessor shall provide a report to the county auditor describing the substantial renovation or new improvements; if any; that were made to the property prior to the increase in assessed value.

SECTION 2. [EFFECTIVE JULY 1, 2026] (a) IC 6-1.1-12-14, as amended by this act, applies to assessment dates after December 31, 2026.

(b) This SECTION expires July 1, 2029.

